

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 6

Honorable Rafael Sivilla-Jones, Presiding

191 North First Street, San Jose, CA 95113

Telephone: (408) 882-2160

July 14 2026

9:00 and 9:01 A.M.

RECORDING COURT PROCEEDINGS IS PROHIBITED

ORAL ARGUMENT

Before 4:00 PM today you must notify the:

- (1) Court by calling (408) 808-6856 and
- (2) Other side by phone or email that you will appear at the hearing to contest the tentative

If you fail to so notify the court or opposing side, the Court will not hear argument, and the tentative ruling will be adopted. (California Rule of Court 3.1308(a)(1) and Local Rule 8.E.)

REMOTE APPEARANCES

Phone only appearances are PROHIBITED. In-person appearances are preferred.

For necessary virtual appearances, you **must use video** and follow **Civil Local Rule 5.**

To access the courtroom, click or copy and paste this link into your internet browser and scroll to

Department 6: <https://santaclara.courts.ca.gov/online-services/remote-hearings>

LINE	CASE NO.	CASE TITLE	TENTATIVE RULING
9:00 1	21CV378290	Brandon Feng v. Jack Cheng	Defendant moves this court to strike or in the alternative tax Plaintiff's Memorandum of Costs.. Defendant brought a cross complaint action against Plaintiff. The cross complaint was dismissed after Plaintiff was compensated by insurance. Plaintiff is the prevailing party under CCP 1032(a)(4). Defendant's motion is to strike or the alternative tax Plaintiff's Memorandum of Costs is DENIED..
9:00 2	23CV422193	Menchaca v. Chong-Flores	Defendant moves this court for summary judgment against Plaintiff's allegation of motor vehicle negligence. Plaintiff filed no opposition to the motion. In fact, Plaintiff admits to riding a bicycle on the wrong side of the road at an unsafe speed causing a collision with Defendant's vehicle. Defendant's motion is GRANTED.
9:00 3	24CV446086	Sandra Diaz-Kelly, et.al. vs Flowers Baking Company of Modesto	See below.
9:00 4	24CV446086	City of San Jose vs. BM Macaw Group, Inc.	See below
9:00 5	25CV462013	Peoplepack, LLC vs Veterinary Medical Institute	Plaintiff files motion for leave to file first amended complaint. No opposition was filed. Plaintiff's motion for leave to file is GRANTED.
9:00 6	25CV462013	Lorraine Parker vs. Service Finance Company, LLC	Defendant petitions this court for relief from waiver of objections to discovery requests propounded by plaintiff. Defendant asserts an internal clerical error which led to the lack of response. Defendant subsequently responded to Plaintiff's requests. Defendant's motion is GRANTED.
9:00 7	25CV477342	Emily Narciso vs. Progressive Insurance Company	Plaintiff moves this court to quash subpoenas for medical records. Defendant's subpoenas request an overly broad search of almost all of Plaintiff's medical records. Plaintiff's motion is GRANTED.
9:00 8	25CV477483	Kyung Mo Kang vs Soung Woo Han	Plaintiff moves this court to deem request for admissions admitted. Plaintiff propounded interrogatories on Defendant who failed to respond. Defendant did not file objections to this motion. Plaintiff's motion is GRANTED. Plaintiff's motion for sanctions in the amount of \$2,200 is GRANTED.
9:00 9	25CV480314	Accelerated Inventory Management, LLC vs. Lynnard Barnes, et.al.	Defendant moves this court to preclude evidence pursuant to CCP 454. Defendant served a demand on Defendant for a bill of particulars indicating the accounting of their damages. Defendant failed to so provide. Defendant did not issue any objections to this motion. Defendant's motion to preclude evidence of amounts or accounting from Plaintiff is GRANTED.
9:00 10	26CV485544	Robert Urquhart vs. Cupertino Electric, Inc.	See Below.
9:00 11	26CV489118	Schuler vs. Sheets	Defendant moves this court to quash service. Plaintiff failed personally serve Defendant after only one attempt. Plaintiff did not file objections to this motion. Defendant's motion to quash is GRANTED.
9:01 3	25CV470532	The Dentist Insurance Company vs. Symmons Industries, Inc.	Plaintiff moves this court to allow service of Defendant through the Secretary of State's Office. Plaintiff has made numerous attempts to serve Defendant. Plaintiff's motion is GRANTED.

Calendar Line 3

Case Name: *Sandra Diaz-Kelly et al. v. Flowers Baking Co. of Modesto, LLC*

Case No.: 24CV434653

This is a negligence action. Defendant Flowers Baking Co. of Modesto, LLC (“Flowers Baking”) moves to strike punitive damages, the third cause of action, and the seventh cause of action from the first amended complaint (“FAC”) filed by plaintiffs Sandra Diaz-Kelly and Julian Kelly (together, “Plaintiffs”).

The court DENIES Flowers Baking’s motion to strike the “entirety of Page 8, 7th cause of action for gross negligence” and the “entirety of Page 6, 3rd cause of action for misclassification.” (See Notice of Flowers Baking’s Motion to Strike, p. 2:8-9.) Flowers Baking appears to be moving to strike two entire causes of action from the FAC. This is improper. A motion to strike is not a substitute for a demurrer and cannot duplicate one. (*Pierson v. Sharp Mem’l Hosp.* (1989) 216 Cal.App.3d 340, 342 “[A] motion to strike is generally used to reach defects in a pleading which are not subject to demurrer. A motion to strike does not lie to attack a complaint for insufficiency of allegations to justify relief; that is ground for general demurrer. A motion for judgment on the pleadings is made on the same grounds and decided on the same basis as a general demurrer . . .”], internal citation omitted.) Code of Civil Procedure section 436 “*does not authorize attacks on entire causes of action*, let alone entire pleadings.” (*Ferraro v. Camarlinghi* (2008) 161 Cal.App.4th 509, 528, internal citation omitted, emphasis added.) “Its purpose is to authorize the excision of superfluous or abusive allegations.” (*Ibid.*)

The court GRANTS Flowers Baking’s motion to strike punitive damages from page 3 of the FAC with 20 days’ leave to amend. First, to request punitive damages against a corporate entity, like Flowers Baking, a complaint must allege that an officer, director, or managing agent of the corporation was either personally responsible for the alleged conduct or that an officer, director,

or managing agent of the corporation: (1) had advance knowledge of the conduct and consciously disregarded it or (2) authorized or ratified the conduct. (See Civ. Code, § 3294, subd. (b).) The FAC fails to do so.

Second, Civil Code section 3294 authorizes the recovery of punitive damages in “an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice . . .” (Civ. Code, § 3294, subd. (a).) “In order to state a prima facie claim for punitive damages, a complaint must set forth the elements as stated in the general punitive damage statute, Civil Code section 3294. These statutory elements include allegations that the defendant has been guilty of oppression, fraud, or malice.” (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 63 (*Turman*), internal citations omitted.) Here, the FAC alleges that that Flowers Baking placed a dumpster “in a manner, time, and/or location that was unsafe, careless, and negligent . . .” (FAC, p. 4.) Similarly, the FAC alleges that “Defendant failed to train employees on how to prevent falls.” (FAC, p. 8.) These conclusory allegations do not allege intent; nor do they allege facts indicating a conscious disregard for the safety of others. (*Turman, supra*, 191 Cal.App.4th at p. 63 [“Malice is defined in the statute as conduct intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. Oppression means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights. Fraud is an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.”], internal citations and quotation marks omitted.) “The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim.” (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166, internal citations omitted; see also *Austin v. Regents of University of California* (1979) 89 Cal.App.3d 354, 359 [“While there is no restriction against

claiming punitive damages as against the defendant doctor, the allegations in plaintiff's complaint are purely conclusionary and do not meet the requirements . . . “[.]” Similarly, something “more than the mere commission of a tort is always required for punitive damages. There must be circumstances of aggravation or outrage, such as spite or ‘malice,’ or a fraudulent or evil motive on the part of the defendant, or such a conscious and deliberate disregard of the interests of others that his conduct may be called wilful or wanton.” (*Taylor v. Superior Court of Los Angeles County* (1979) 24 Cal.3d 890, 894-895, internal citation and quotation marks omitted, emphasis omitted.)

Calendar Line 4

Case Name: *City of San Jose v. BW Macaw Group, Inc., et al.*

Case No.: 24CV446086

After full consideration of the evidence, the separate statements submitted by the parties, and the authorities submitted by each party, the court makes the following rulings:

Pursuant to Chapter 4.66 of the Municipal Code of the City of San Jose (“SJMC”), the City of San Jose (“City”) imposes a Cannabis Business Tax (“CBT”) on persons and businesses engaged in the sale, distribution and other enumerated transactional activities related to the operation or enterprise of cannabis products. (See complaint, ¶ 21.) Under the CBT, such businesses are required to obtain a business tax certificate from City pursuant to Chapter 4.76 of the SJMC, and to comply with all provisions of Chapter 4.66. (See complaint, ¶ 21.) The amount of the CBT imposed was 10% of the gross receipts arising out of cannabis transactions or activities. (See complaint, ¶ 22, citing SJMC § 4.66.250A.) At the end of each calendar month, each person or business subject to the CBT is required to prepare and file a tax return to City, stating the monthly gross receipts and remit the amount of the CBT owed; if the person or business fails to remit the owed CBT at that time, the tax becomes delinquent and penalties are

imposed. (See complaint, ¶¶ 22-23, citing SJMC §§ 4.66.260A, 4.66.280, 4.66.300A.) Pursuant to SJMC 4.66.53, City may audit and examine the books and records of persons engaged in the cannabis business to ascertain the CBT amount owed, and if a person refuses to make those documents available, City may make an assessment. (Complaint, ¶¶ 24-25.) Over the monthly periods of August 2017 through August 2023, defendant BW Macaw Group, Inc., d.b.a. Herbs, Herb’s Collective, Herbs Medical Dispensaries, Eaze Herbs, or Eaze (“BW”), owe City \$1,489,516.71, consisting of CBT principal, penalties, and interest, and other fees associated with operating a cannabis business, and interest under Chapter 4.66 continues to accrue through and after the filing of this suit. (See complaint, ¶¶ 28-34, exhs. A-D.) Defendant DNCN Holdings LLC (“DNCN”) is the parent company and alter ego of BW. (See complaint, ¶ 4.) Defendants David Dang Nguyen (“Nguyen”), and Ngan Kim Martin (“Martin”) are the owners, officers, managers of both DNCN and BW, controlling both entities and undercapitalizing BW, using it as a shell entity for DNCN and its funds for their own personal use. (See complaint, ¶¶ 5-8.)

On August 27, 2024, City filed a complaint against BW, DNCN, Nguyen, and Martin (collectively, “Defendants”), asserting causes of action for:

- 1) Collection of Cannabis Business Tax (against all defendants);
- 2) Collection of Business Fees (against all defendants);
- 3) Breach of written contract (against all defendants);
- 4) Constructive trust (against all defendants);
- 5) Conversion (against all defendants); and,
- 6) Fraudulent transfer (against DNCN, Nguyen and Martin).

City moves for summary adjudication of the first cause of action as to all defendants, and the second and third causes of action as to defendant BW.

CITY’S MOTION FOR SUMMARY ADJUDICATION

Plaintiff’s burden on summary adjudication

The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact—one sufficient to support the position of the party in question that no more is called for. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850-851.) Plaintiffs moving for summary judgment bear the burden of persuasion that each element of the cause of action in question has been proved, entitling the party to judgment. (Code Civ. Proc. § 437c, subd.(p)(1).) Plaintiffs, who bear the burden of proof at trial by preponderance of evidence, therefore “must present evidence that would require a reasonable trier of fact to find the underlying material fact more likely than not—otherwise he would not be entitled to judgment as a matter of law, but would have to present his evidence to a trier of fact.” (*Aguilar, supra*, 25 Cal.4th at p.851.) ““Once the plaintiff... has met that burden, the burden shifts to the defendant... to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.”” (*Thompson v. Ioane* (2017) 11 Cal.App.5th 1180, 1195 (Sixth District case), quoting Code Civ. Proc. § 437c, subd. (p)(1).)

Defendants concede that City is entitled to summary adjudication against BW.

In support of its motion, City presents: the declarations of San Jose Police Department Division Manager for the Division of Cannabis Regulation Wendy Solazzi, and City Department of Finance Program Manager Eric Warnars; BW’s applications to renew its registration to operate a cannabis business; notices of completed registration issued to BW; BW’s CBT tax returns; the payment plan agreement entered into by BW; and, a CBT audit assessment for BW. City also requests judicial notice of: SJMC sections 4.66.210(A), 1.04.020(J), 4.66.070(A), 4.66.250(A), 4.66.250(D), 4.66.260(A), 4.66.300(A), 4.66.550, 4.66.580, 6.88.380(A), and 6.88.380(B); San Jose Ordinance No. 29262; and, San Jose Resolution Nos. 72737 § 10.030, 75442 § 80, 80571 § 26, and RES2023-220 § 32. City’s request for judicial notice is GRANTED. (See Evid. Code § 452, subds. (a), (b), (c), (h); see also *The Kennedy Com. v. City of Huntington Beach* (2017) 16 Cal.App.5th 841, 852 (stating that “the court may take judicial notice of a city charter or municipal code”); see also *Madain v. City of Stanton* (2010) 185

Cal.App.4th 1277, 1280, fn.1 (taking judicial notice of relevant portions of municipal code pursuant to Evidence Code sections 459 and 452, subdivision (b)); see also *Mahon v. City of San Diego* (2020) 57 Cal.App.5th 681, 701, fn. 31 (taking judicial notice of ordinance); see also *Safe Life Caregivers v. City of Los Angeles* (2016) 243 Cal.App.4th 1029, 1041, fn. 11 (taking judicial notice of ordinance); see also *Evans v. City of Berkeley* (2006) 38 Cal.4th 1, 7 (California Supreme Court taking judicial notice of city of Berkeley resolution pursuant to section 452, subdivision (b)).)

In opposition to the motion, Defendants admit that City is entitled to summary adjudication against defendant BW:

Defendants do not dispute any of these claims with respect to BW.

Defendants acknowledge and concede that BW is liable for the collection of unpaid CBT, CBT Fees, and breach of contract.

(Defs.’ opposition to City’s motion for summary adjudication (“Opposition”), p.6:8-9.)

City’s motion for summary adjudication of the first through third causes of action is GRANTED as against defendant BW.

In reply, City concedes that it may not obtain summary adjudication against defendants DNCN, Nguyen and Martin.

In its reply papers, City likewise concedes that it may not obtain summary adjudication of the first cause of action against defendants DNCN, Nguyen and Martin:

Although Plaintiff Martin’s legal conclusion that an employment relationship existed is not entitled to any weight, Plaintiff

acknowledges that the remainder of Martin’s declaration does raise genuine issues of material fact regarding the existence of a possible employment relationship between BW Macaw and the remaining defendants.

(City’s reply brief, p.2:13-16.)

Further, City also acknowledges that while “liability can still be imposed pursuant to SJMC § 1.08.15.5 or under a theory of alter ego liability... summary adjudication has not been sought on either of these theories....” (City’s reply brief, p.2:18-25.)

Accordingly, City’s motion for summary adjudication of the first cause of action for collection of cannabis business tax is DENIED as to defendants DNCN, Nguyen and Martin.

City shall prepare and submit a proposed final order consistent with this tentative ruling.

Calendar Line 10

Case Name: Urquhart v. Cupertino Electric, Inc.

Case No.: 26CV485544

Defendant Cupertino Electric, Inc. (“Defendant”) moves to strike eleven images from the complaint and also moves to seal the complaint, its notice of motion and the supporting memorandum of points and authorities. In opposition, plaintiff Robert Urquhart (“Plaintiff”) argues that there is no rule that prohibits the insertion of graphic images and that the images are relevant as they illustrate the allegations. The Court agrees that images may be inserted into a complaint. It is not uncommon to have relevant images in a complaint such as a diagram of a product or the layout of an area at issue or even a photo of an email or website that is purported to contain defamatory statements. However, these “illustrative graphics” are not helpful for the Court or jury in understanding the allegations and are untethered to the specific instance alleged

by the complaint. Accordingly, Defendant's motion to strike each of the eleven images from the complaint is GRANTED. The subject images are hereby stricken from the complaint. Plaintiff is ordered to file an amended complaint without these images within 10 days of this Order.

As Plaintiff is ordered to file an amended complaint without the images, and as the amended complaint will supersede the initial complaint, there is no overriding interest that overcomes the public's right to access to the record. Defendant's motion for an order to seal the complaint, the notice of the motion to strike and the supporting memorandum of points and authorities is DENIED.